lakh crore of customs revenue against estimated receipts of Rs 1.56 lakh crore in financial year 2019–20 with a shortfall of Rs 0.47 lakh crore.

The year 2019–20 turned out to be the year of shortfall of GST compensation. The government, therefore, distributed all the IGST balances and there was no IGST balance left. It also drew upon balances of the GST Compensation Cess. Finally, the gross collections under CGST turned out to be Rs 5.99 lakh crore. In addition, the GST of union territories was about Rs 5800 crore. Compared to the total amount of Rs 6.63 lakh crore budgeted under different heads of GST, the government got Rs 6 lakh crore, a shortfall of about Rs 0.63 lakh crore.

All the indirect taxes put together yielded a shortfall of about Rs 1.69 lakh crore.

Lockdown Disrupted Tax Performance in the First Half of 2020–21 but It Improved Later

Tax revenue performance in financial year 2020–21 was quite poor until September.

Net tax revenues suffered a big jolt in the first quarter, falling short by Rs 1.16 lakh crore (46 per cent less than the previous year). As the government delivered the states' tax share instalment on the basis of estimated budgeted tax revenues, the three months of April to June 2020 bore the brunt. Tax revenues (net to Centre) came down from Rs 71,637 crore to Rs 21,412 crore in April 2020, from Rs 43,703 crore to Rs 12,438 crore in May and from Rs 1,36,071 crore to Rs 1,00,972 crore in the month of June. Quarterly net tax revenues for the Centre came down from Rs 2,51,411 crore to Rs 1,34,822 crore.

Tax revenues improved in the second quarter. Overall, tax revenue shortfall in the second quarter was only Rs 0.32 lakh crore compared to the previous year. This brought down the first half shortfall to only Rs 1.48 lakh crore, which was less than 25 per cent compared to the previous year.